Category
Monetary Policy

Related Questions:
Practice questions related to this topic

INTERACTION OF MONETARY AND FISCAL POLICY

Learning Outcome

- explain the interaction of monetary and fiscal policy

The Relationship Between Monetary and Fiscal Policy

Both monetary and fiscal policies can be used to try to influence the macroeconomy. But the impact of monetary policy on aggregate demand may differ depending on the fiscal policy stance. Conversely, the impact of fiscal policy might vary under various alternative monetary policy conditions. Clearly, policy makers need to understand this interaction. For example, they need to consider the impact of changes to the budget when monetary policy is accommodative as opposed to when it is restrictive: Can we expect the same impact on aggregate demand in both situations?

Although both fiscal and monetary policy can alter aggregate demand, they do so through differing channels with differing impact on the composition of aggregate demand. The two policies are not interchangeable. Consider the following cases in which the assumption is made that *wages and prices are rigid*:

- *Easy fiscal policy/tight monetary policy*: If taxes are cut or government spending rises, the expansionary fiscal policy will lead to a rise in aggregate output. If this is accompanied by a reduction in money supply to offset the fiscal expansion, then interest rates will rise and have a negative effect on private sector demand. We have higher output and higher interest rates, and government spending will be a larger proportion of overall national income.
- *Tight fiscal policy/easy monetary policy*: If a fiscal contraction is accompanied by expansionary monetary policy and low interest rates, then the private sector will be stimulated and will rise as a share of GDP, while the public sector will shrink.
- *Easy monetary policy/easy fiscal policy*: If both fiscal and monetary policy are easy, then the joint impact will be highly expansionary—leading to a rise in aggregate demand, lower interest rates (at least if the monetary impact is larger), and growing private and public sectors.
- *Tight monetary policy/tight fiscal policy*: Interest rates rise (at least if the monetary impact on interest rates is larger) and reduce private demand. At the same time, higher taxes and falling government spending lead to a drop in aggregate demand from both public and private sectors.

Factors Influencing the Mix of Fiscal and Monetary Policy

Although governments are concerned about stabilizing the level of aggregate demand at close to the full employment level, they are also concerned with the growth of potential output. To this end, encouraging private investment will be important. It may best be achieved by accommodative monetary policy with low interest rates and a tight fiscal policy to ensure free resources for a growing private sector.

At other times, the lack of a good quality, trained workforce—or perhaps a modern capital infrastructure—will be seen as an impediment to growth; thus, an expansion in government spending in these areas may be seen as a high priority. If taxes are not raised to pay for this, then the fiscal stance will be expansionary. If a loose monetary policy is chosen to accompany this expansionary spending, then it is *possible* that inflation may be induced. Of course, it is an open question as to whether policy makers can judge the appropriate levels of interest rates or fiscal spending levels.

Clearly, the mix of policies will be heavily influenced by the political context. A weak government may raise spending to accommodate the demands of competing vested interests (e.g., subsidies to particular sectors, such as agriculture in the EU), and thus a restrictive monetary policy may be needed to hold back the possibly inflationary growth in aggregate demand through raised interest rates and less credit availability.

Both fiscal and monetary policies suffer from the lack of precise knowledge of where the economy is today, because data initially appear to be subject to revision and to have a time lag. However, fiscal policy suffers from two further issues with regard to its use in the short run.

As we saw earlier, it is difficult to implement quickly because spending on capital projects takes time to plan, procure, and put into practice. In addition, it is politically easier to loosen fiscal policy than to tighten it; in many cases, automatic stabilizers are the source of fiscal tightening, because tax rates are not changing and political opposition is muted. Similarly, the independence of many central banks means that decisions on raising interest rates are outside the hands of politicians and thus can be taken more easily.

The interaction between monetary and fiscal policies was implicit in our discussion of Ricardian equivalence because if tax cuts have no impact on private spending as individuals anticipate future higher taxes, then clearly this may lead policy makers to favor monetary tools.

Ultimately, the interaction of monetary and fiscal policies in practice is an empirical question, which we also touched on earlier. In their detailed research paper using the International Monetary Fund's (IMF'S) Global Integrated Monetary and Fiscal Model, IMF researchers examined four forms of coordinated global fiscal

- a decrease in tax on labor income,
- a rise in government investment expenditure, and
- a rise in transfers to the poorest in society.

The two types of monetary policy responses considered are:

- no monetary accommodation, so rising aggregate demand leads to higher interest rates immediately; or
- interest rates are kept unchanged (accommodative policy) for the two years.

The following important policy conclusions from this study emphasize the role of policy interactions:

- *No monetary accommodation*: Government spending increases have a much bigger effect (six times bigger) on GDP than similar size social transfers because the latter are not considered to be permanent, although real interest rates rise as monetary authorities react to rises in aggregate demand and inflation. Targeted social transfers to the poorest citizens have double the effect of the non-targeted transfers, while labor tax reductions have a slightly bigger impact than the latter.
- *Monetary accommodation:* Except for the case of the cut in labor taxes, fiscal multipliers are now much larger than when there is no monetary accommodation. The cumulative multiplier (i.e., the cumulative effect on real GDP over the two years divided by the percentage of GDP, which is a fiscal stimulus) is now 3.9 for government expenditure compared with 1.6 with no monetary accommodation. The corresponding numbers for targeted social transfer payments are 0.5 without monetary accommodation and 1.7 with it. The larger multiplier effects with monetary accommodation result from rises in aggregate demand and inflation, leading to falls in real interest rates and additional private sector spending (e.g., on investment goods). Labor tax cuts are less positive.

Quantitative Easing and Policy Interaction

What about the scenario of zero interest rates and deflation? Fiscal stimulus should still raise demand and inflation, lowering real interest rates and stimulating private sector demand. We saw earlier that quantitative easing was a feature of major economies following the 2008–2009 Global Financial Crisis. This involved the purchase of government or private securities by the central bank from individuals, institutions, or banks and substituting central bank balances for those securities. The ultimate aim was for recipients to subsequently increase expenditures, lending or borrowing in the face of raised cash balances and lower interest rates.

If the central bank purchases government securities on a large scale, it is effectively funding the budget deficit and the independence of monetary policy is an illusion. This so-called printing of money is feared by many economists as the monetization of the government deficit. Note that it is unrelated to the conventional inflation target of central banks, such as the Bank of England. Some economists question whether an independent central bank should engage in such activity.

The Importance of Credibility and Commitment

The IMF model implies that if governments run persistently high budget deficits, real interest rates rise and crowd out private investment, reducing each country's productive potential. As individuals realize that deficits will persist, inflation expectations and long-term interest rates rise: This reduces the effect of the stimulus by half.

Further, if there is a real lack of commitment to fiscal discipline over the longer term, (e.g., because of aging populations) and the ratio of government debt to GDP rose by 10 percentage points permanently in the United States alone, then world real interest rates would rise by 0.14 percent—leading to a 0.6 percent permanent fall in world GDP.

Question Set

1. In a world in which Ricardian equivalence holds, governments would *most likely* prefer to use monetary rather than fiscal policy because under Ricardian equivalence:

A. real interest rates have a more powerful effect on the real economy.
B. the transmission mechanism of monetary policy is better understood.
C. the future impact of fiscal policy changes are fully discounted by economic agents.

Hide Solution

Solution:

C is correct. If Ricardian equivalence holds, then economic agents anticipate that the consequence of any current tax cut will be future tax rises, which leads them to increase their saving in anticipation of this so that the tax cut has little effect on consumption and investment decisions. Governments would be forced to use monetary policy to affect the real economy on the assumption that money neutrality did not hold in the short term.

2. If fiscal policy is easy and monetary policy tight, then:

Hide Solution

Solution:

C is correct. With a tight monetary policy, real interest rates should rise and reduce private sector activity, which could be at least partially offset by an expansion in government activity via the loosening of fiscal policy. The net effect, however, would be an expansion in the size of the public sector relative to the private sector.

3. Which of the following has the greatest impact on aggregate demand according to an IMF study? 1 percent of GDP stimulus in:

A. government spending
B. rise in transfer benefits
C. cut in labor income tax across all income levels

Hide Solution

Solution:

A is correct. The study clearly showed that direct spending by the government leads to a larger impact on GDP than changes in taxes or benefits.

4. Given an independent central bank, monetary policy actions are *more likely* than fiscal policy actions to be:

A. implementable quickly.
B. effective when a specific group is targeted.
C. effective when combating a deflationary economy.

Hide Solution

Solution:

A is correct. Monetary actions may face fewer delays to taking action than fiscal policy, especially when the central bank is independent.

5. Which policy alternative is *most likely* to be effective for growing both the public and private sectors?

A. Easy fiscal/easy monetary policy
B. Easy fiscal/tight monetary policy
C. Tight fiscal/tight monetary policy

Hide Solution

Solution:

A is correct. If both fiscal and monetary policies are “easy,” then the joint impact will be highly expansionary, leading to a rise in aggregate demand, low interest rates, and growing private and public sectors.

Rate Your Confidence

Category
Monetary Policy

Related Questions:
Practice questions related to this topic

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{OLR} OVERNIGHT LENDING RATES

The Bloomberg OLR function allows you to see overnight lending rates of central banks around the world.

> “OLR allows you to determine how central bank target policy rates impact interbank loans, which enables you to identify the relative liquidity prevailing in a specific country's economy. OLR allows you to see the next target policy rate release date and the expected rate to be released based on a survey conducted by Bloomberg, so you can evaluate the likely progression of interest rates. You can display a historical chart for a country's rate, and access news focused on central bank policies and forecasts.” -Bloomberg

To explore this function, type OLR into the Bloomberg command line and press Enter or <GO>. View the monetary policy base rates for several major countries all on one screen.

3)	Japan	-0.10	-0.063	0.00	06/16/23	
4)	UK	4.50	4.4350	-0.04	06/22/23	
5)	Canada	4.50	4.4400	0.04	06/07/23	4.50
6)	Australia	3.85	3.7550	-0.03	06/06/23	
7)	New Zealand	5.50			07/11/23	5.50
8)	Switzerland	-0.75	-0.75300	0.01		
9)	Denmark	3.00	0.0000	0.00		
10)	Norway	3.25	4.25	0.00	06/22/23	
11)	Sweden	3.50	3.60	0.00	06/29/23	
	Asia					
12)	China	4.35	1.4380	-0.14		
13)	Hong Kong	5.50	3.00000	0.00		
14)	India	6.50	3.35	0.00	06/08/23	
15)	Indonesia	5.75	5.90222	0.02	06/22/23	
16)	Malaysia	3.00	3.00	0.03	07/06/23	
17)	Philippines	6.25	6.0000	0.00	06/22/23	
18)	Singapore					
19)	South Korea	3.50	3.650	0.08	07/13/23	
20)	Taiwan	1.88	0.686	0.00	06/15/23	

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Rate Your Confidence

Category

Monetary Policy

Related Questions:

Practice questions related to this topic

Discuss Filter

Discussion

What do you want to discuss... (required)

TE OLR function does't exist anymore but you can find repo rates with BTMM <GO>

Created 6 months ago by Thomas Ezanno

0 replies | Last Activity: 6 months ago

Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Rate Your Confidence

Category

Monetary Policy

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Monetary Policy

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Monetary Policy

Related Questions:

Practice questions related to this topic